Amprius Technologies (AMPX): Hold — Valuation Concerns

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A genuine battery breakthrough priced for near-flawless execution. At $8.12, the market prices in roughly 52% annual revenue growth for five years, above our 38.5% base case. Our DCF sees a $5.12 base case, 37% downside.

Hold — Valuation Concerns	$5.12	$8.12	-37%
RATING	BASE TARGET (BLENDED $5.64)	SPOT (OCT 14, 2026)	DOWNSIDE TO BASE

$2.15 / $10.19	11.38%	$34.0M	27%	$140M+	1.8
BEAR / BULL TARGETS	LIVE WACC	Q2 2026 REVENUE	Q2 GROSS MARGIN	FY2026 GUIDE	NORMALIZED BETA

Executive summary

We update Amprius Technologies to **Hold — Valuation Concerns** with a $5.12 base-case target (blended $5.64). Amprius makes silicon-nanowire lithium-ion batteries delivering up to 500 Wh/kg, nearly double conventional cells, and the commercial traction is real: $73M of FY2025 revenue (+202%), $34M in Q2 2026 (+126% YoY), gross margins turning positive at 27%, and FY2026 guidance raised to at least $140M. Defense drone demand and the Stark Future e-mobility contract provide genuine visibility.

The problem is price, not technology. Our five-year DCF underwrites aggressive growth in every scenario (18% / 38.5% / 55% revenue CAGRs), yet the 11.38% live WACC, with beta normalized from 2.33 to 1.8, compresses the outer-year cash flows. The result: Bear $2.15, Base $5.12, Bull $10.19. The base case sits 37% below spot.

> **Our read:** the market is pricing near-perfection. Our reverse DCF shows $8.12 implies roughly a **52% five-year revenue CAGR**, above our 38.5% base case and just under our 55% bull case. That means investors are underwriting near-flawless execution on defense procurement, e-mobility scale-up, and contract-manufacturing partnerships simultaneously, with little allowance for dilution, customer concentration, or competition. The technology is real; the valuation leaves no room for reality.

Base-case assumptions

INPUT	BEAR	BASE	BULL
5-yr revenue CAGR (FY26-30)	18%	38.5%	55%
2030 revenue ($M)	320	515	890
2030 FCF margin	9.3%	14.3%	19.5%
Terminal growth	3.0%	3.5%	4.0%
Target per share	**$2.15**	**$5.12**	**$10.19**

WACC 11.38% live (spot 10Y + 1.8 normalized beta x implied ERP). Gordon terminal. Net cash $74.5M; 143.5M diluted shares (Q2 2026 10-Q).

> **A note on the discount rate.** Our original model used a 2.33 beta, and the pushback was fair: a 2.33 beta is statistical noise on a recently listed micro-cap, not structural risk. Per our standing framework, betas above 2.0 are normalized toward industry levels, with a lighter touch here for early-stage battery tech: beta is now 1.8. WACC falls from 13.1% to 11.38%, and targets move to $2.15 / $5.12 / $10.19 (blended $5.64). The ERP tab is untouched live market data. Even with the lower discount rate, the base case sits 37% below spot: this was never a beta story, it is a price story.

Bull case: $10.19 HYPERGROWTH DELIVERED

If defense procurement accelerates, Stark Future scales, and SiCore contract manufacturing ramps without a hitch, revenue compounds at 55% to ~$890M by 2030 with 19.5% FCF margins. Worth $10.19, 25% above spot. The bull case is achievable, but it requires flawless execution on every front simultaneously, with no allowance for dilution, customer concentration, or competition.

Bear case: $2.15 GROWTH DISAPPOINTS

Customer concentration bites (Q2 depended on a single $24M European drone order), contract-manufacturing partners stumble, or dilution from warrant overhang pressures the float. Revenue grows at 18% to $320M by 2030, margins stall at 9.3%, and the equity is worth $2.15, 74% below spot.

Verdict

We rate AMPX Hold — Valuation Concerns. This is a technology we respect at a price we cannot defend — but the business itself is not deteriorating. Revenue grew 205% last year, gross margins turned positive, and the operating trajectory is intact for an early-stage battery maker. The base case ($5.12) already assumes 38.5% annual growth for five years, yet sits 37% below spot; the market's implied ~52% CAGR prices in an outcome near our bull case. We reserve Sell for overvaluation plus fundamental deterioration. Here the concern is valuation alone, so we hold and wait for a better entry.

What would change our mind

- **De-risked growth:** two consecutive quarters of diversified revenue (no single customer above 20%) with expanding gross margins.
- **Balance-sheet discipline:** no further dilutive warrant exchanges or equity raises through 2027.
- **Multiple compression in the opportunity set:** a 30%+ drawdown would bring the price within reach of the base case.

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Key themes

1. The technology lead is genuine ACCELERATING

500 Wh/kg from a shipping product is not a lab result. The 80+ patent portfolio around direct-growth silicon nanowires solves the anode-swelling problem that has stalled competitors. Design wins with AeroVironment and Redwire carry multi-year qualification moats.

2. Defense demand is the near-term engine ACCELERATING

Drone warfare is driving urgent DoD and European procurement of extended-endurance batteries. Q2 revenue of $34M (+126%) and raised FY2026 guidance to $140M+ reflect real order flow, not projections.

3. The hybrid manufacturing model cuts both ways STABLE

Tolling SiCore production in South Korea avoids gigafactory capex, but it concentrates geopolitical and partner-execution risk in the supply chain. Fremont SiMaxx capacity (DIU-funded) is the higher-margin, lower-risk leg.

4. Customer concentration is the key risk DECELERATING

A single $24M European drone customer drove the bulk of Q2. Loss or delay of one large order moves the needle violently at this scale. Diversification through Stark Future and commercial drones is the critical 2027 watch item.

5. The float is a technical overhang STABLE

Historical warrant exchanges and insider selling have created persistent overhead supply. With 143.5M shares and counting, per-share value leaks even when the enterprise executes.

Other KPIs

METRIC	VALUE
Market cap (at $8.12)	$1.17B
Enterprise value	$1.09B
Q2 2026 revenue / YoY	$34.0M / +126%
Q2 gross margin	27% (vs 9%)
Q2 adj. EBITDA	-$1.0M (-3% margin)
Cash (Q2, no debt)	$74.5M
EV / FY2026E revenue	7.8x

Guidance

Management guides FY2026 revenue of at least $140M (our DCF base year) with adjusted EBITDA of at least $4M. Consensus sees ~$225M for FY2027. Q3 2026 results are due November 5. Watch customer diversification and gross-margin trajectory for the earliest read on whether the growth is broadening or narrowing.

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Reverse DCF: what the market is pricing in

At $8.12, AMPX carries a $1.17B market cap and a $1.09B enterprise value. Running the model's own five-year framework in reverse at a flat 14.3% base-case FCF margin, the market-implied revenue CAGR is roughly **52%**, implying 2030 revenue of about $1.1B versus $140M guided for this year.

SCENARIO	5-YR REVENUE CAGR	TARGET
Market-implied	~52%	$8.12 (spot)
Bull case	55%	**$10.19**
Base case	38.5%	**$5.12**
Bear case	18%	**$2.15**

The market is pricing in an outcome between our base case and our bull case: sustained ~52% growth with no dilution, no customer loss, and no competitive response. Our base case already assumes 38.5% annual growth, yet the equity is worth 37% less than the market price. That is the definition of an asymmetric short.

Model

Full three-scenario 5-year DCF with live CAPM, reverse DCF, and implied-ERP tab:

https://docs.google.com/spreadsheets/d/18H7kkGdnr_KHOkBwEaykYcS1dBsEKjKUOeZz-MdGNCUw/edit?usp=drivesdk

Risks to our Hold

- A major DoD program-of-record designation would de-risk the revenue trajectory overnight.
- Stark Future or another e-mobility partner scales faster than modeled, pulling forward the bull case.
- Takeover interest from a battery major or defense prime at a strategic premium.
- Beta compression: if the stock's volatility regime changes, the WACC falls and targets rise mechanically.

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